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New Product Hierarchy

Proposal Review

Today's Goals

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Review proposal for a new product hierarchy data structure; why the change is needed and how it impacts the enterprise

Share a vision for product master data management, including approach for implementing the new product hierarchy

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Agenda …

- Product Hierarchy Background
  - What it is and the challenges today
- New Hierarchy Proposal
  - Best practices and industry examples
- Product Master Data Vision
  - Foundation for customer configurations
- Approach and Next Steps
  - Go forward plans

BACKGROUND

What is Product Hierarchy and why change?

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What is a Product Hierarchy?

- Framework that reflects how we see and manage our products. It's used by the different systems from POS to Web and it should be reflective of the customer Journey.
  - Web
  - POS system
  - Inventory Management
  - Analytics
  - Financial Reporting

Current Challenges

- **Clarity & Ownership –** Structure is overly complex and inconsistent, which leads to varied interpretations and mis-categorization (e.g., PillowSac vs. PillowSac Jr). We lack a single, source of ownership and understanding for how products should be classified.
- **Complexity** - Structure has too many levels, causing repetition of information and unused tiers. Some levels exist in name only and are never actively leveraged (e.g. Level 2)
- **Future Growth** – It's not aligned to support our roadmap. Our current hierarchy doesn't flex for the new platforms, product categories or sales channels we have on the horizon.

Current Product Hierarchy Levels

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Brand

Indicates the highest Level of the Hierarchy, differentiating the Brand Lines for the organization

Platform

Indicates Product Platforms within Brand, meaning items within the same platform should be able to interact/connect with one another.

Line

Indicates Lines within a Platform, mostly used for reporting line is the part of the finished good the item belongs to, meaning Insert, Cover, both or platform specific accessory.

Product Category

Indicates high level Product categories, mostly used for reporting and referencing generic part like “Sides” or “Sacs”

Product

Indicates a specific Product like “Roll Arm Side” or “Moviesac”

Type

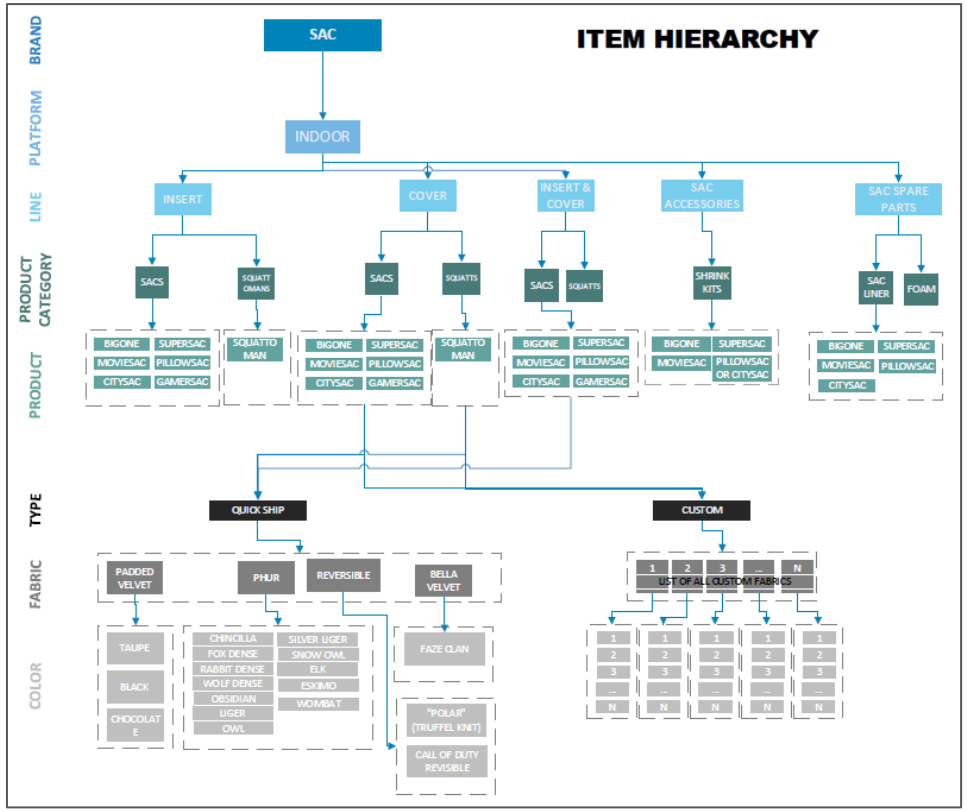
Indicates if the product is quick ship, custom or 3rd party. Quick ship products are produced before an order inventoried at a Lovesac Warehouses. Custom items are made only at a customers’ request. 3rd Party items are not designed by Lovesac and either inventoried at the warehouse or drop shipped.

Fabric
[*Fabric Record]

This Level is only applicable to Covers. Indicates a specific fabric type, this is the fabric that is made at the factory level. Ex: Padded Velvet, Corded Velvet, Phur, etc.

Color
[*Fabric Record]

This Level is only applicable to Covers. Indicates the specific Lovesac Color name for the Fabric. Brand Determines a color when a fabric is Launched. The color should not change after a product is launched. Ex: Taupe, Midnight Navy, Alpine Swirl, etc.



*Fabric Record is a separate table than the item master table linked by the field “**Item Fabric Type**” which is Fabric & Color. Ex: Midnight Navy Corded Velvet, Alpine Swirl Phur

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Key Observations

- **Inconsistencies today**
  - PACF and PACF JR on different levels (1)
  - Reclining Sactional Spare parts spread across the hierarchy (2)
  - Sactionals cover components spread across two categories (3)
- **Brand Roadmap**
  - Language inconsistent with Lovesac terms (“Brand” vs. “Platform”)
  - New Product introductions break current hierarchy logic, including Services
- **Level 2 Indoor and Outdoor**
  - Not relevant today
- **Lack of Standardization across Products and Accessories (“Rules for Categorization”)**
  - Centralized assessment of all products categorizations in the hierarchy (future and past)
  - Accessories across various “Brands" - (*e.g., Anytable under Sactionals vs. Footsacs under Accessories*)
  - StealthTech Accessories and Spare Parts

Product Hierarchy – Current State Challenges (sample)

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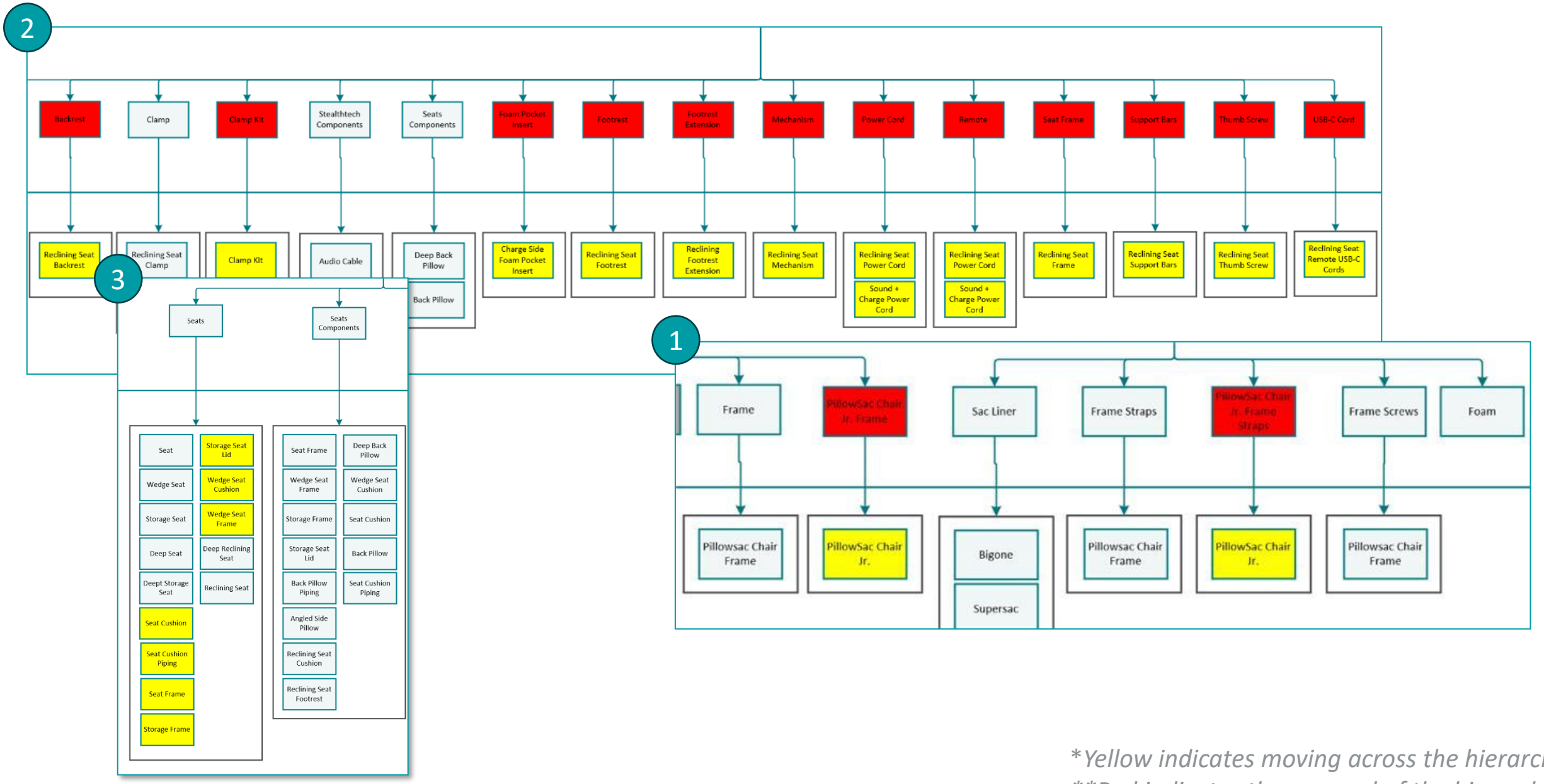

**Yellow indicates moving across the hierarchy.*
***Red indicates the removal of the hierarchy.*

NEW HIERARCHY PROPOSAL

Fewer levels, more scalable, AI tested

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Product Hierarchy - Best Practices and Guidelines

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- **Simplicity** - Fewer Levels (can always add levels, can't take them away)
- **Intuitive and Logic** – Leaves little to no room for interpretation
- Reflective of our **Customer Journey**
- **Scalable** for future product and marketing roadmap but **agnostic to strategic changes**
- **Supports the needs from the different teams** (Marketing, Brand, Reporting, Analytics, Finance, Inventory, etc.)
- Ensure **consistency in language and terminology** ("Brand", "Platform", etc.)

Product Hierarhy - Industry Examples

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IKEA

Level 1: Business Area (BA) → Level 2: Home Furnishing Business (HFB) → Level 3: Product category → Level 4: Product series / line → Level 5: Individual article/SKU

Ex. BÅRSLÖV Couch: Living Room & Workspaces (BA) → Living room seating (HFB) → Sofas & sectionals (Category) → BÅRSLÖV series (if series applies) → BÅRSLÖV 3-Seat Sofa (SKU/article)

ARHAUS

Level 1: Brand / Top Node → Level 2: Major Category → Level 3: Sub-Category → Level 4: Product Type / Product Family → Level 5: Specific SKU / Product Detail

Ex. Kipton Sectional: Brand: Arhaus → Major Category: Furniture → Sub-Category: Living Room / Indoor Seating → Product Type: Upholstered Seating (Sofas/Sectionals/Chairs) → Product Family / Collection: Kipton Collection → SKU / Individual Product: Specific sofas, sectionals, chairs, etc.

Note

Arhaus doesn't publicly publish an official full taxonomy, we can infer its structure based on how their site is organized and how product assortments are described in company filings and category menus

Hierarchy Proposals – High-Level Structure Overview

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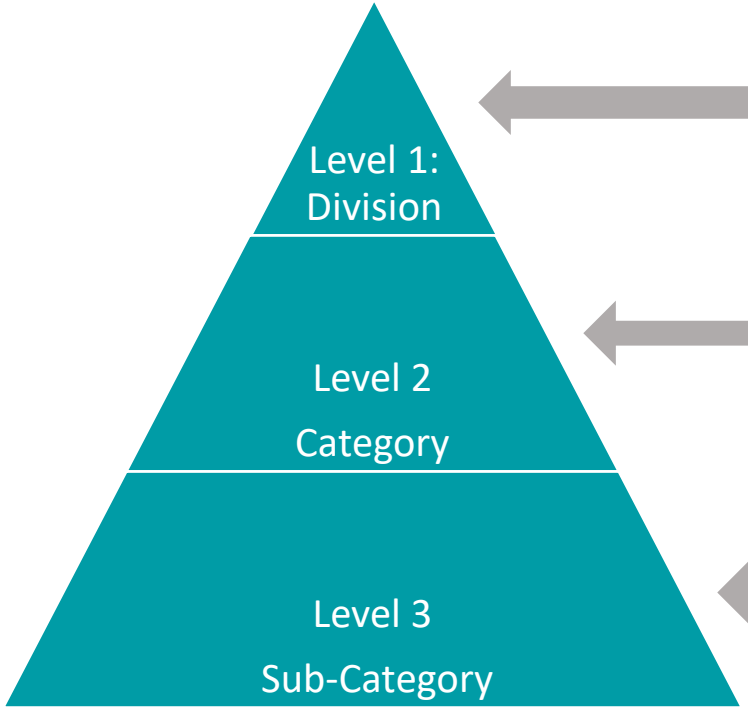
Proposal: 3 Levels Simplified Hierarchy

To Be Defined: Define the 3 Levels that works for everyone



Example A	Example B	Example C
Company *e.g. Lovesac*	Company *e.g. Lovesac*	Home Area *e.g. Living*
Brand *e.g. Sactional*	Purpose *e.g. Seating*	Purpose *e.g. Seating*
Product Category *e.g. Sides and Arms*	Brand *e.g. Sactionals*	Platform *e.g. Sactionals*

Product Attributes

Style	Color	Etc…
Fabric	Fill Type	

Proposed New Product Hierarchy

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L1

- Brand (Lovesac)

L2

- Furniture *(Seating)*
- Electronics
- Accessories
- Services
- Operations *(Misc.)*

L3

Furniture *(Seating)*	Electronics	Accessories	Services	Operations *(Misc.)*
Sactionals	StealthTech	Pillows	Delivery & Installation	Boxes
Recliners	Speakers	Throws	Cleaning services	Filler
Accent Chairs	Control modules	Remotes	Repair services	Desiccants
Ottomans	Power hubs	Cable kits	Protection plans	Instruction Manuals
Tables	Chargers	Cupholders	Subscription services	Demo Blocks
Storage Products	Future sensors/controls	Trays		Swatches
Covers				Fabric (by Yard)
Sacs				3Rd Party
Snugg				Polybags

Product Attributes	Color	Type (quick ship, custom, etc.)	Line (insert, cover, etc.)	Fabric

Proposed New Product Hierarchy w/ Winifred

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L1

- Brand (Lovesac)

L2

- Furniture *(Bedding)*
- Electronics
- Accessories
- Services
- Operations *(Misc.)*

L3

- Furniture *(Bedding)*
  - Sactionals
  - Recliners
  - Accent Chairs
  - Ottomans
  - Tables
  - Beds
  - Mattresses
  - Covers
- Electronics
  - StealthTech
  - Speakers
  - Control modules
  - Power hubs
  - Chargers
  - Future sensors/controls
- Accessories
  - Pillows
  - Sheets
  - Cubbies
  - Adjustable Base
  - Blankets
- Services
  - Delivery & Installation
  - Cleaning services
  - Repair services
  - Protection plans
  - Subscription services
- Operations *(Misc.)*
  - Boxes
  - Filler
  - Desiccants
  - Instruction Manuals
  - Demo Blocks
  - Swatches
  - Fabric (by Yard)

Product Attributes	Size (Twin XL, Queen, King, Cal King)	Mattress Type (Pixel, Split, Flip)	Bed Type (Upholstered, Wood)	Sheets Offering (Fitted, Flat, etc.)

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Still Some Details to Work Out …

- Sactionals vs. Recliner – Is a Sactional Recliner under Sactionals or Recliners?
- Accent Chairs could be an Accessory? Define "Accessory"
- Is Squattoman a Sac or Ottoman?
- Duplication between L3 hierarchy and product attributes (e.g. can Sactionals be an attribute?)
- Feet and Clamps part of Furniture, or Operations, or new L2 (Spare Parts?) Similar for Remotes and Cable Kits? "Operations" would not typically be marketed/sold

PRODUCT MASTER DATA VISION

Omni-channel customer configurations

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Product Master Data

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Goal: ***Allow our customers to create omni-channel customer configurations that will help us build for the next phase of our growth into new categories and rooms***

The Challenge

Business Need
Sell consistent configurations across Web and Stores

Current Pain Points
SKU explosion, rules in multiple systems, cart-to-BOM downstream system mismatch, reorder/order update failures

Proposed Solution

Centralized Configuration
Assemble-to-Order (ATO) model with Configuration ID + immutable Snapshot

Deterministic Explosion
Component SKU explosion for NetSuite planning/fulfillment

Expected Outcomes
Fewer errors, faster fulfillment, consistent customer experience

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Proposed Solution

Four concepts to unify configuration across all channels

Shared Product Model + Rules

One configuration brain for all products, driving consistent logic across Web and Stores

Configuration ID + Snapshot

Unique identifier and immutable payload capturing customer choices, stored on cart/order

Deterministic Explosion Result

Rules engine translates snapshot into exact component SKUs for NetSuite planning and fulfillment

Substitution Mapping

Handles discontinued finishes/components during reorders without changing original intent

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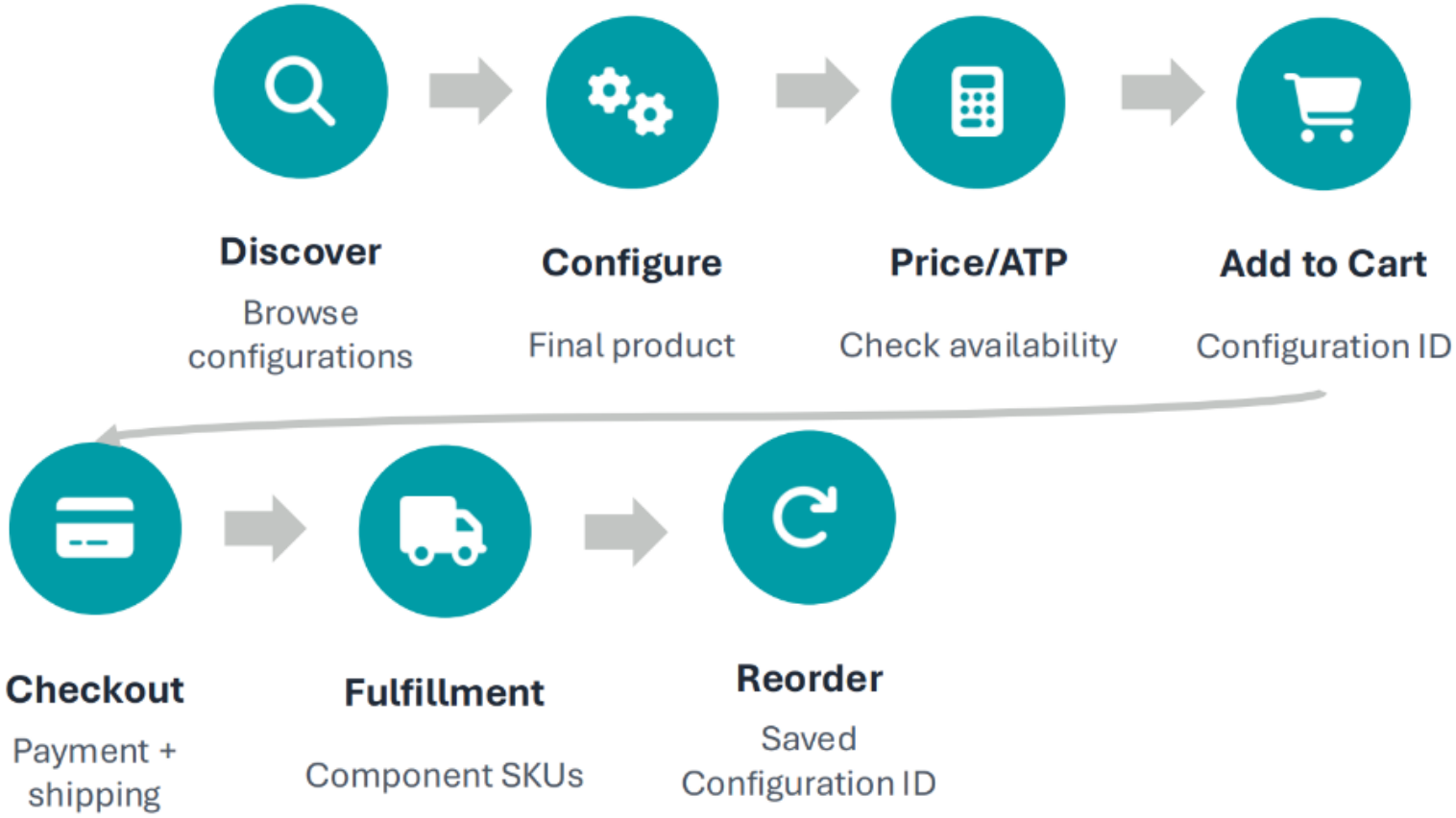
Customer Experience Journey

Web + Stores | Configuration ID = immutable reference



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Implementation Roadmap

Phased rollout from foundation to scale

1 Foundation

1. Define Product Model taxonomy and catalog structure
2. Identify and clean Component SKU master data
3. Choose configuration brain architecture (Salesforce CPQ vs. custom rules service)
4. Establish configuration payload schema
5. Design Configuration ID generation strategy

2 MVP Web + ERP

- Adobe Commerce configurator UI with layout + finishes
- Configuration Snapshot schema and storage
- Explosion service for component resolution
- NetSuite order structure with parent + component lines
- Fabric set for initial testing
- Basic integration testing and validation

3 POS + Reorder

- Retail Cloud integration with same configuration brain as Adobe Commerce
- Saved Configuration ID library for reordering
- Substitution Mapping service for discontinued items
- Order history and configuration retrieval
- Store inventory integration
- Sales associate training

4 Scale & Optimize

- Visual/3D configurator enhancements
- Advanced pricing and promotions engine
- Analytics and reporting dashboards
- Auto-kitting and packaging optimization
- AI-driven recommendations
- Advanced substitution rules and availability optimization

NEXT STEPS

Build the Foundation w/ New Product Hierarchy

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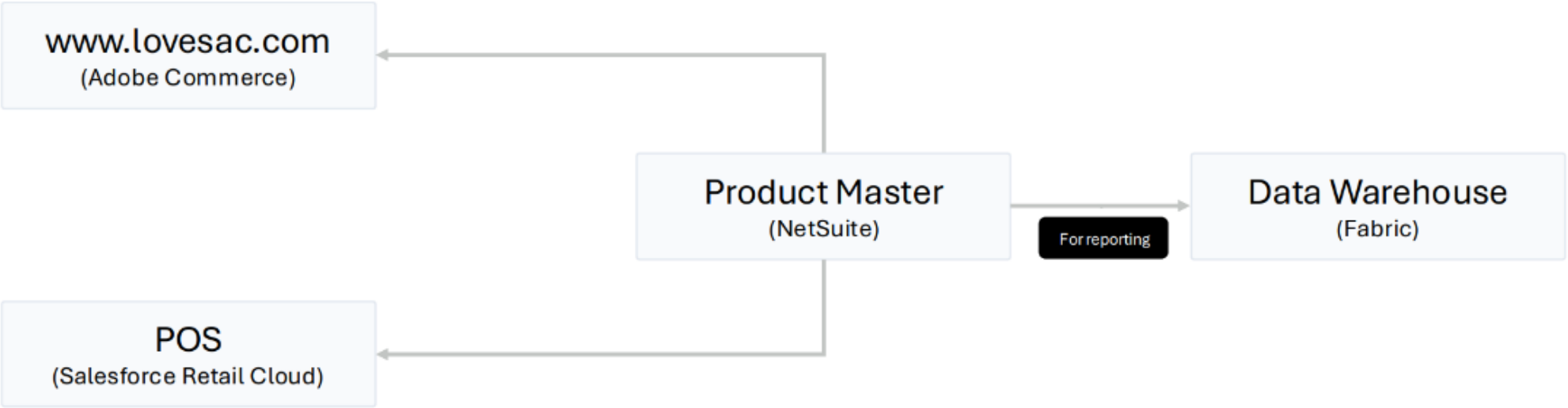
Product Hierarchy: Current Data Flow

Current State



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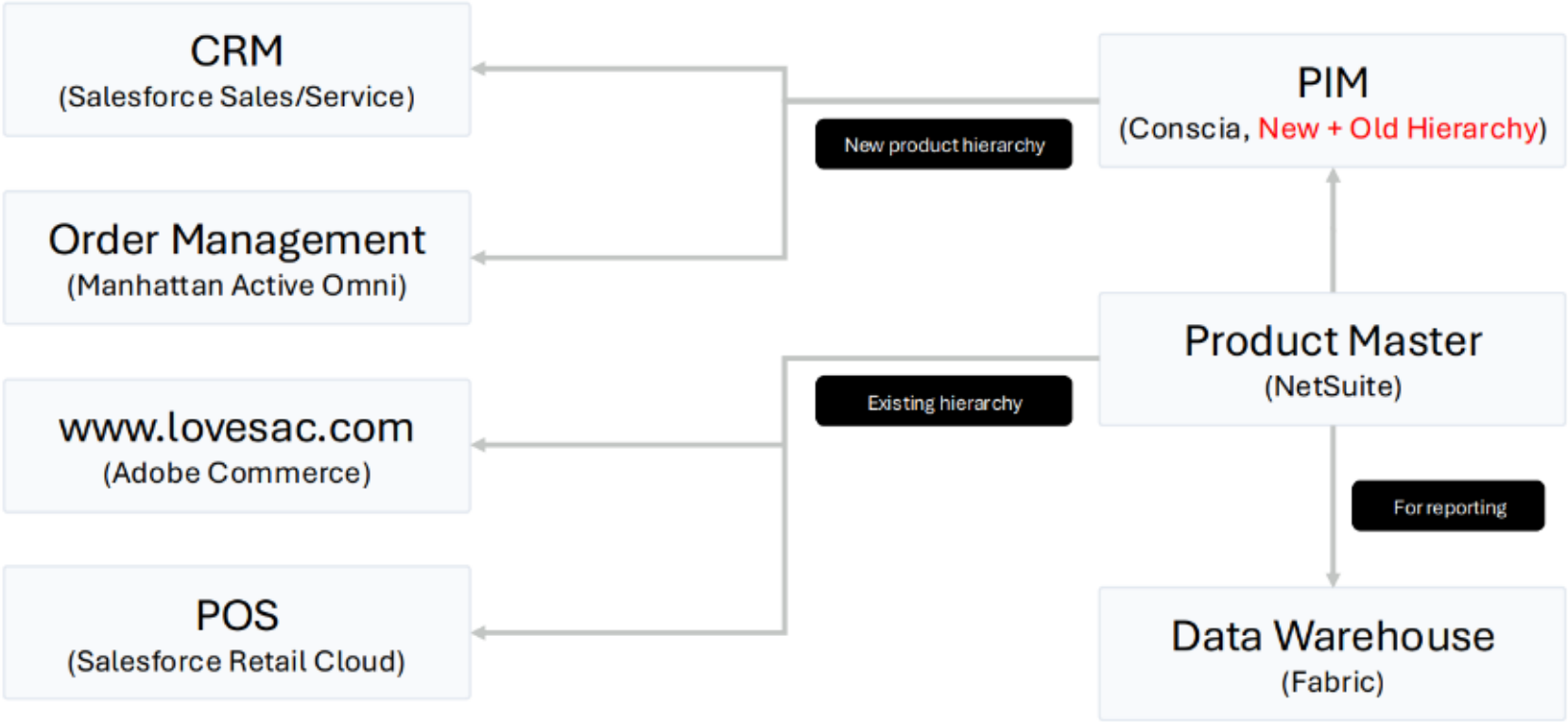
Product Hierarchy: Phase 1 Data Flow (2026)

Current State



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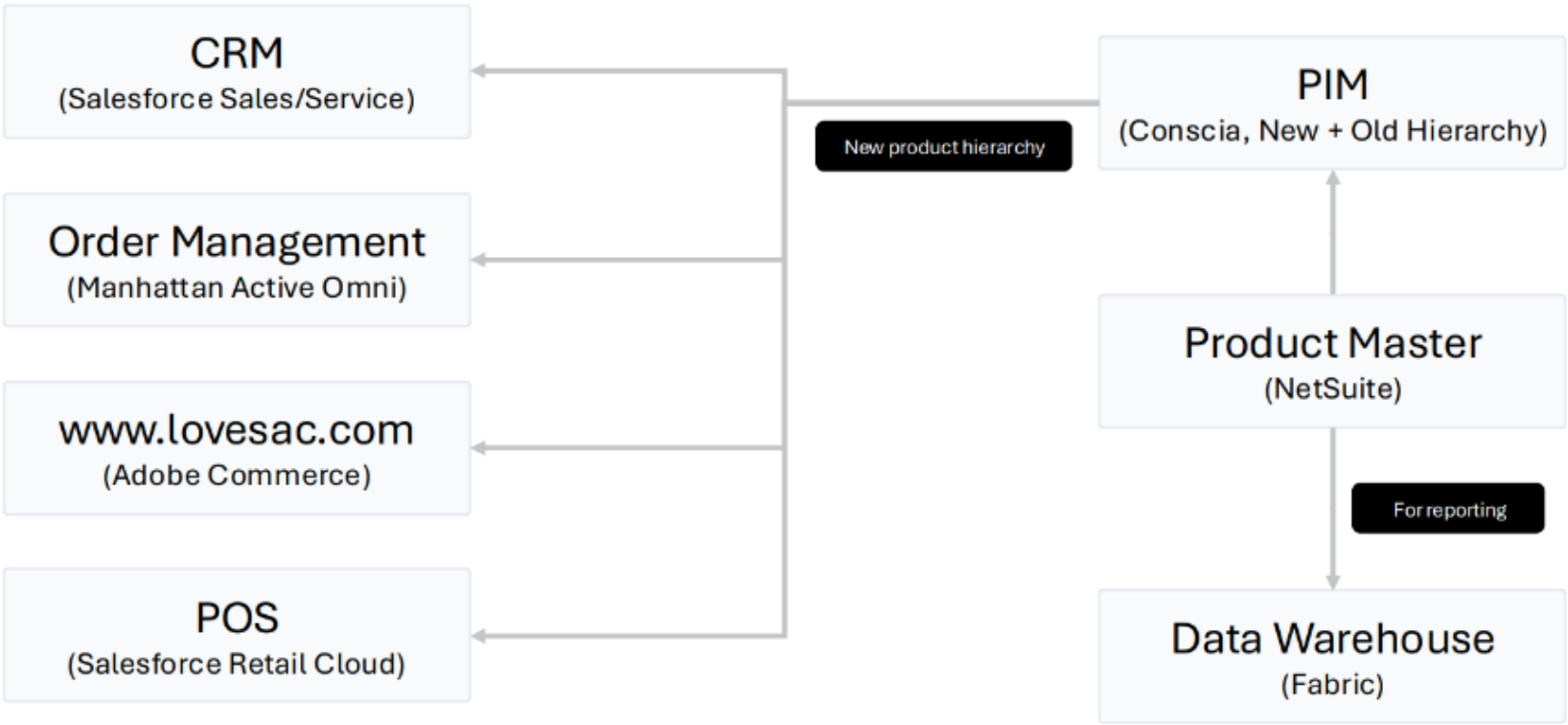
Product Hierarchy: Phase 2 Data Flow (2027)

Current State



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Next Steps

- Continue socialization with impacted business areas
- Agree on and *define* Levels (1,2,3) and begin defining attribute groups needed
- Begin to assess impact of change, including data “clean-up”
- Clarify organizational ownership and roles/responsibilities
- Explore broader Product Management capability (e.g. PIM)
- Establish Go-Forward Project Structure and Charter (timelines, resources, etc.)

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Questions?